

Data Centers in Indonesia

Market Landscape, Investments, and Fiscal Cost of Tax Incentives

Working Paper

March 2026

Indonesia Data Center Market at a Glance

Market Snapshot (2025)

- **88** existing facilities, **25** upcoming
- **307 MW** operational capacity
- Market value: **USD 2.81B** (2025)
- Projected: **USD 6.08B** by 2031
- IT load target: **3,560 MW** by 2030

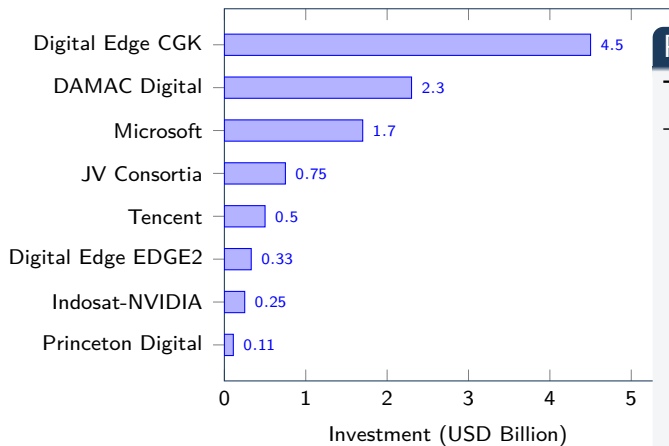
Geographic Split

- Jakarta: 56.7% market share
- Batam: fastest growth (21.7% CAGR)
- Pipeline: ~670 MW across both hubs

Top Operators by Capacity (MW)

Operator	MW
DCI Indonesia	119
Princeton Digital	120
Telkom (NeutraDC)	42
Digital Edge	29
SpaceDC	25
NTT DATA	25
EdgeConneX	7
Digital Realty	5
Gaw/Sinar Primera	5

Investment Pipeline: Over USD 11 Billion Announced



Planned Capacity Additions

Project	MW
DCI H2 Pertiwi	600
Digital Edge CGK	500
BDx Jatiluhur	500
EdgeConneX JKT	200
DAMAC Cikarang	144
PDG (JC3+Batam)	118
DayOne/INA Batam	72
STT GDC Jakarta	72
Telkom Cikarang	60
NTT JKT2A+JKT3	57

Tax Incentives and Fiscal Cost

Tax Holiday (PMK 69/2024)

- Data centers = **pioneer industry**
- **100% CIT exemption** for 5–20 years (investments > IDR 500B / USD 33M)
- + 50% reduction for 2 more years
- SEZs: **0% VAT** on equipment imports (~11% capex saving)
- 100% foreign ownership allowed

OECD Pillar Two Impact

15% global minimum tax $\Rightarrow$ Indonesia introducing domestic top-up tax (QDMTT) to retain revenue domestically. Recovers ~USD 250M/yr.

Estimated Fiscal Cost

Metric	Value
Total DC investment	\$11.2B
Annual CIT foregone	\$370M
10-yr cumulative cost	\$3.7B
SEZ VAT foregone	\$150M
<i>OECD recovery</i>	<i>–\$250M/yr</i>

But: Strong Leverage

- Historical ratio: **18.5x** (IDR 20T incentives $\rightarrow$ IDR 370T investment)
- 15–25K direct jobs
- Digital economy target: USD 130B